Cambridge (CIE) A Level Business

Your notes

Business Communication (A Level)

Contents

- Purposes of Communication
- Methods of communication
- Channels of Communication
- Barriers to Communication
- The Role of Management in Facilitating Communication

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The purpose of communication

- **Communication** is the successful transfer of messages between sender(s) and receiver(s)

Internal communication

- **Internal communication** is the exchange of messages between two or more members of the same organisation
  - It helps to ensure the business runs smoothly, as it allows departments, teams and individuals to share information, make decisions and work towards common goals

Situations where internal communication is needed

- **Coordination**
  - Ensures departments, like marketing, operations and finance, are aligned and working together effectively
    - E.g. a team meeting to plan a product launch
- **Motivation and morale**
  - Keeps employees informed about company plans and progress, which can increase engagement and job satisfaction
    - E.g. a training session introducing a new computer system
- **Decision-making**
  - Allows managers and employees to exchange ideas, give feedback, and make well-informed choices
- **Delegation and instructions**
  - Managers communicate tasks clearly to staff so that work is done efficiently and correctly
    - E.g. a manager emailing staff about new safety procedures.
- **Performance management**
  - Used for appraisal, giving praise or constructive feedback, and setting targets
- **Problem-solving**
  - Helps resolve issues quickly through open dialogue and collaboration

External communication

- **External communication** is the exchange of message(s) between an organisation and external stakeholders such as customers, suppliers or investors

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- It helps a business build and maintain good relationships with people or groups outside the organisation who have an interest in the business.

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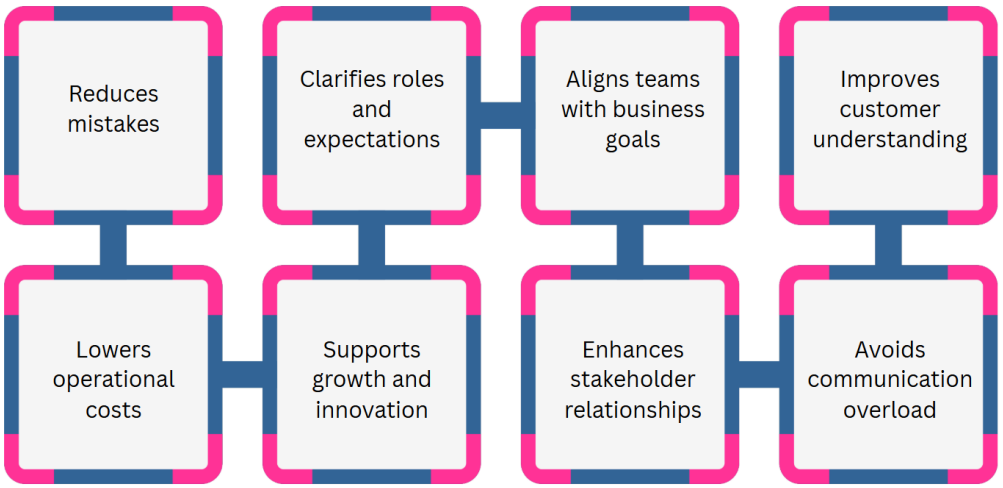
Situations where external communication is needed

Purpose	Explanation
Customer relations	▪ Communicating clearly with customers to meet their needs, handle complaints, and promote products or services
Supplier coordination	▪ Arranging delivery times, negotiating prices, or discussing quality standards
Investor confidence	▪ Providing accurate financial and strategic information to shareholders or potential investors
Legal and regulatory compliance	▪ Ensuring the business meets legal obligations by responding to government or legal bodies
Public image and PR	▪ Promoting a positive reputation and brand image through media, social platforms, or advertising

The importance of communication

- Effective communication ensures that **clear messages are sent**, **received**, **understood** and **acted upon** in the way intended
- **Effective communication should be**
  - Clear and unambiguous
  - Appropriate to the context and to the sender
  - Sent to the correct receiver in an accessible format
  - Timely and contain only the required amount of detail

The benefits of effective communication



Effective communication reduces mistakes. clarifies employees' roles and responsibilities and improves stakeholder relationships

- **Reduces mistakes**
  - Clear instructions and feedback between managers and staff help reduce errors, which saves time and improves efficiency
- **Clarifies roles and expectations**
  - When communication is effective, everyone knows their responsibilities
  - This increases accountability and helps teams work more productively
- **Aligns the team with business goals**
  - Communicating the company's values and objectives ensures all employees are working towards the same targets
- **Improves customer understanding**
  - By providing accurate and clear information about products or services, businesses can improve customer satisfaction and reduce complaints
- **Lowers operational costs**
  - Good communication avoids misunderstandings and delays
  - This helps a business operate more efficiently and reduce unnecessary expenses
- **Supports growth and innovation**
  - When communication flows well, businesses can spot and act on new opportunities quickly, such as launching new products or entering new markets
- **Improves stakeholder relationships**
  - Managers must manage communication channels carefully to ensure the right people stay informed
  - This builds trust with key groups such as investors, employees and suppliers

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- **Avoids communication overload**
  - A 2021 survey of US workers found over one-third were overwhelmed by excessive emails, which made them consider leaving
  - Managing the volume of communication is vital to protect employee wellbeing and retention

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Spoken communication

- **Spoken communication** is the process of sharing information using the voice
- It includes both formal and informal conversations and can happen face-to-face or through devices such as phones or video calls
- It is often supported by body language, tone, and gestures, which help convey meaning

Examples of spoken communication in a business

Spoken communication includes meetings, telephone calls and presentations

- **Team meetings**
  - Employees and managers discuss progress or upcoming projects
- **Telephone calls**
  - Used to speak with customers, suppliers or colleagues
- **Presentations**
  - A manager explains a new strategy to staff, often using software to share images, graphs and illustrations
- **Video conferences**

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- Staff from different locations join a virtual meeting
- **Informal chats**
  - Quick updates or feedback shared between co-workers during the working day
- **Customer service calls**
  - Staff answering customer questions or solving problems

Strengths and weaknesses of spoken communication

Strengths	Weaknesses
▪ Quick and immediate, as it allows instant feedback	▪ Can be easily misunderstood, especially if instructions are complex
▪ Builds relationships through tone and emotion	▪ Not always recorded, which can lead to confusion or memory issues
▪ Flexible, as it allows questions and clarification	▪ Background noise or other distractions can reduce effectiveness
▪ Suitable for sensitive or personal topics	▪ Hard to share with many people at once without a formal structure
▪ Encourages teamwork and motivation as it creates a human connection between people	▪ Relies on good listening skills to ensure information is not missed

Written communication

- **Written communication** is the sharing of information through written words, either on paper or digitally
- It includes anything that can be read, such as emails, reports, letters, notices, or messages sent through digital apps
- Written communication is often used when the message needs to be clear, permanent, or shared with several people

Examples of written communication

- **Emails**
  - May be used for daily updates, requests or instructions between employees and managers
- **Business reports**
  - These are usually formal documents outlining results, plans or research

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- **Notices and memos**
  - These can be used for internal announcements about meetings, policy changes or deadlines
- **Agendas and minutes of meetings**
  - These record what will be or has been discussed in face-to-face or virtual meetings
- **Letters**
  - These may be used for formal communication with external stakeholders such as customers, suppliers or job applicants
- **Contracts and agreements**
  - These are legal documents confirming terms and conditions

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Strengths and weaknesses of written communication

Strengths	Weaknesses
▪ Creates a permanent record that can be referred to later	▪ Can be time-consuming to write and read
▪ Helps ensure accuracy and clarity, especially for complex topics	▪ No immediate feedback, as delays in clarification may cause problems
▪ Can be easily shared with multiple people	▪ The tone can be misunderstood or seem too formal
▪ Suitable for formal communication and legal documents	▪ People may ignore or overlook written messages
▪ Useful across different time zones or when people are unavailable	▪ Lacks the personal touch of face-to-face or spoken communication

Electronic communication

- **Electronic communication** is the use of digital technology to send and receive messages
- It includes written, spoken, or visual communication shared using electronic devices such as **computers, smartphones** or **tablets**
- It allows quick and efficient contact within and outside the business, across any location or time zone

Examples of electronic communication

- **Emails:**
  - Fast written messages that can be sent to individuals or groups

- **Video calls** (e.g. Zoom, Microsoft Teams)
  - Real-time spoken and visual meetings
- **Instant messaging apps** (e.g. Slack, WhatsApp)
  - Quick, informal messages between staff
- **Company websites**
  - These are used to provide information to customers, investors and the general public
- **Social media** (e.g. LinkedIn, Instagram)
  - This can be used to promote the business and interact with external audiences
- **Internal platforms**
  - These include intranets that can be used to share updates, documents and announcements with employees

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Strengths and weaknesses of electronic communication

Strengths	Weaknesses
▪ Fast and efficient, as messages can be sent instantly anywhere	▪ May lead to information overload as a result of too many messages or emails
▪ Can combine text, images, audio and video	▪ Can be impersonal, reducing human connection
▪ Supports remote working and international communication	▪ Technical problems, such as system crashes or poor internet connection, can cause delays
▪ Easy to store and retrieve as messages can be saved and reviewed	▪ Security risks due to data breaches or hacking of sensitive information
▪ Helps with collaboration through shared documents or group chats	▪ Employees may ignore or misunderstand messages if they are poorly written

Visual communication

- **Visual communication** is the use of images, symbols, charts or other visual elements to convey information
- It helps to simplify complex ideas and make messages easier to understand and remember
- Visuals are often used alongside spoken or written communication to strengthen the message

Examples of visual communication

- **Graphs, charts and infographics**
  - These are often used in reports or presentations to show trends, sales data or performance
- **Logos and branding**
  - These provide a visual identity of the business that creates instant recognition
- **Training videos or animations**
  - These can help employees understand how to use equipment or follow procedures
- **Presentations (e.g. PowerPoint)**
  - Software used in meetings or pitches to illustrate key points
- **Signs and symbols**
  - These can include health and safety signs, arrows or labels around the workplace, providing instructions or information

Strengths and weaknesses of visual communication

Strengths	Weaknesses
▪ It can make complex information easier to understand	▪ It can be misinterpreted if visuals aren't clear or well-designed
▪ It helps people remember information better than text alone	▪ Some messages need explanation, which visuals alone can't provide
▪ It can be engaging and eye-catching, especially for presentations or marketing	▪ It can be costly and time-consuming to produce high-quality visuals
▪ It is useful for people with low literacy or language barriers	▪ Not all employees may have access to or skills with design tools

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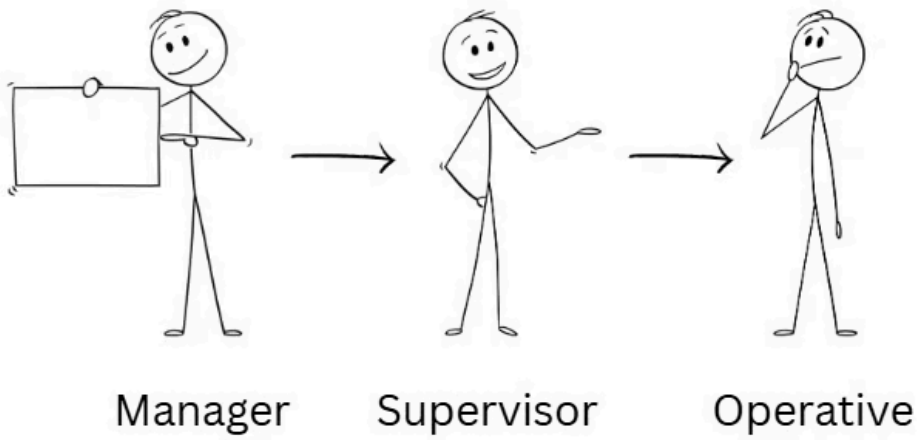
Formal communication

- Formal communication is the **planned way** a business shares information
  - It is written down or recorded, so there is **proof** of what was communicated
- Formal communication happens differently depending on the type of communication network
- A **communication network** refers to the **patterns or structures** through which information flows within an organisation — in other words, **who communicates with whom** and **how**

Communication networks

1. Chain communication



Messages pass up or down the hierarchy

- The message travels step-by-step up or down the hierarchy, following the chain of command
- Chain communication suits tall, rule-bound organisations, such as the armed forces
  - There is clear authority and accountability
  - It is easy to trace who said what
- However, it is slow, as passing the message through each layer adds time
  - Details can be distorted as they pass along
  - Lower levels may feel left out of decisions

2. Wheel communication

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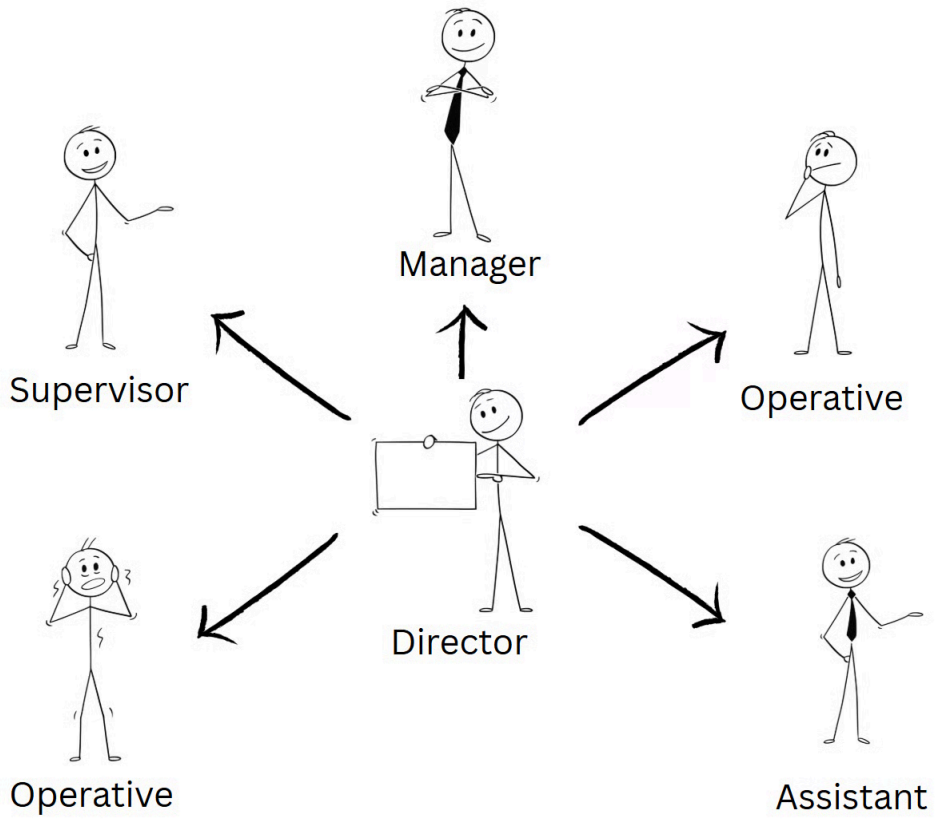

The message comes from the centre of the business

- One central leader receives information from, and sends instructions to, every other member
- This approach is suitable when rapid decisions are needed, such as in emergencies
  - The leader has the full picture, so messages stay consistent
- However, the message sender can suffer from information overload, as there is over-dependence on one person
  - As there is little sharing between outer members, important ideas may be missed

3. Circle communication

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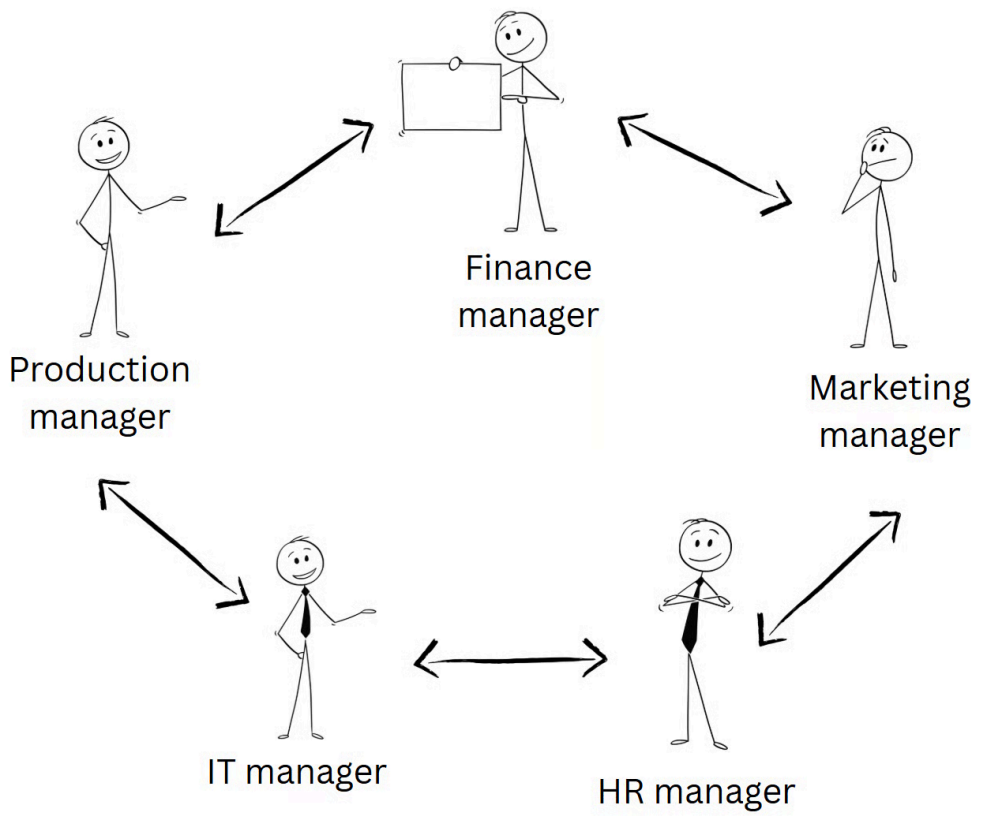

The message is passed around the group

- People of equal rank speak or pass the message in turn around the group
- This approach builds team spirit and trust
  - Everyone is heard , so it is good for brainstorming and problem-solving
- However, it may be slow to reach a decision and there is no single leader to break deadlocks
  - The message may have to travel a long way to reach the right person

Benefits of formal communication

Benefit	Explanation	Example
Clear instructions	▪ Formal documents state the exact steps, deadlines and who is responsible ▪ Staff do not have to guess or ask several people, so tasks are done the same way on every shift and in every location	▪ A production manager gives operators a **checklist** to follow before the machines run ▪ Errors are reduced and product quality remains stable

A record is kept	▪ Saving messages as emails, minutes or forms creates proof of what was decided and who agreed ▪ Managers can trace problems and settle arguments because the date and wording are stored	▪ A customer claims a delivery was late; the logistics team shows the **despatch note** email to prove the goods left on time
Fairness	▪ Formal channels like the intranet, noticeboards or newsletters send the same information to all employees at once ▪ Overtime offers, training places or job vacancies are open to everyone, not just close friends of the boss	▪ A shop manager posts the **weekly rota** on the staff portal instead of handing it to favourite supervisors, so each worker can plan ahead
Legal protection	▪ Laws often require firms to keep contracts, policies and safety records; these documents act as legal evidence if audited or taken to court ▪ They show the company followed proper rules and gave clear warnings	▪ After an accident on-site, a business can show the worker's **signed safety training record** to prove correct training was given, reducing possible fines

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One- and two-way communication

- **One-way communication** is where information moves **from sender to receiver only**
  - The listener or reader does not reply
- It is typically used for **announcements** and **important instructions**, e.g., fire alarms, where speed or clarity matters more than feedback
  - It delivers a **single, consistent message** to many people quickly, with no debate to slow it down
  - However, the receiver cannot ask questions, so **misunderstandings** can occur
- **Two-way communication is where a** message is **sent and then replied to**
  - This creates a feedback loop between sender and receiver
- It is typically used for **team meetings**, **customer-service chats** and **appraisal interviews**, and situations where understanding and agreement are vital

- Feedback confirms the message has been understood and lets both sides share ideas, which can improve decisions and morale
- However, it takes more time and, if poorly managed, may lead to arguments or information overload

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Vertical and horizontal communication

- **Vertical communication** involves **information moving up and down the hierarchy**, between managers and the levels above or below them
- It is typically used to communicate targets from directors to supervisors (downward) or progress reports from the shop floor to management (upward)
  - It keeps the **chain of command clear** and ensures decisions and feedback reach the right level
  - However, it can be **slow**, and **messages may get distorted** or filtered as they pass through several layers
- **Horizontal communication** is where messages are shared between people on the same organisational level, often across departments
  - E.g. the marketing manager may communicate with the finance manager about a promotional campaign budget
- It can **speed up problem-solving** and **teamwork** by letting peers share information directly
- However, if not copied upward, **senior managers may be unaware** of agreements, causing confusion later

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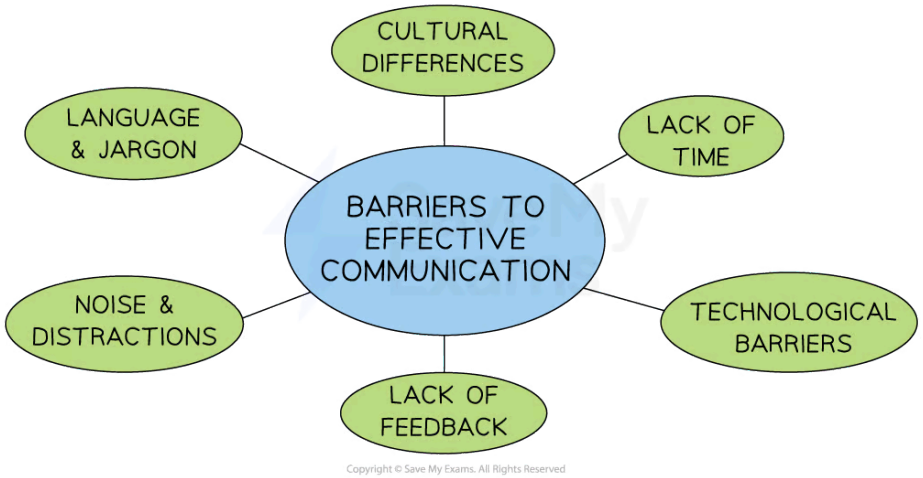
Common barriers to communication

- Barriers to communication **hinder the flow of information,** leading to potential misunderstandings, conflicts and inefficiency

Barriers to effective communication



Barriers to communication include language, jargon, cultural differences and technological barriers

1. **Language and jargon**
   - The use of **technical terminology** or **industry-specific jargon** can lead to misunderstandings
   - Industry- or business-specific **acronyms** can confuse new staff
   - Staff in businesses that operate across international borders may speak different languages
2. **Noise and distractions**
   - **Loud machinery** or a **crowded workspace** can interfere with effective communication
   - **Distractions,** including phone notifications and email alerts, which can divert attention
3. **Lack of feedback**
   - The **absence of feedback** can affect understanding and lead to **misunderstandings**
   - Messages may require **urgent clarification or correction** to avoid mistakes being made
4. **Cultural differences**

- Cultural **norms** and **expectations** can affect communication style

5. **Lack of time**
   - **Busy work schedules** and **competing priorities** can limit the time available for communication
6. **Technological barriers**
   - **Technical issues** such as poor internet connections, malfunctioning equipment or unfamiliarity with platforms can slow communication

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How to overcome barriers to communication

- Tackling communication barriers is an essential investment in organisational success
  - Global supply chains rely on precise instructions
  - Remote teams depend on stable digital links
  - Diverse employees need to feel heard and respected

Ways to overcome barriers to communication

Barrier	Practical ways to overcome it
Language & jargon	▪ Use 'plain English' guidelines ▪ Create a shared glossary of key terms ▪ Encourage staff to ask for clarification
Noise & distractions	▪ Designate 'quiet zones' ▪ Provide noise-cancelling headsets ▪ Schedule short focus periods ▪ Use visual signage instead of verbal instructions
Lack of feedback	▪ Build in confirmation steps, such as 'Could you recap the key points?' ▪ Use digital read-receipts or emoji reactions ▪ Hold brief daily stand-ups to identify issues quickly
Cultural differences	▪ Offer cultural awareness training ▪ Pair staff from different regions as 'culture buddies' ▪ Agree team 'rules of engagement' (e.g. how to disagree respectfully)
Lack of time	▪ Choose the right channel (e.g. a voice note can be quicker than typing)

	▪ Use templates and checklists ▪ Keep meetings short with timed agendas ▪ Share minutes immediately after meetings
Technological barriers	▪ Invest in reliable infrastructure and backups ▪ Standardise on a small set of tools ▪ Provide bite-sized training videos

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The role of informal communications

- Informal communication is the **casual, unofficial** way that people in a business share information
  - It is **not planned or written down** in official records
  - The style is friendly and conversational, often using everyday language
  - Messages travel **outside the formal chain of command**, so they can move quickly across levels and departments
- Informal communication can occur in a range of situations, including
  - **Water-cooler chats**
    - Quick conversations in the corridor, kitchen or staff room
  - **Instant-messaging or group apps**
    - Short texts or emoji exchanges on WhatsApp, WeChat, Slack, etc
  - **Social gatherings**
    - Talking during lunch breaks, team socials or company sports events

Benefits and risks of informal communication

Benefits	Risks
▪ **Fast information flow** ▪ Staff can warn each other of a problem immediately, without waiting for formal meetings	▪ **Rumours and gossip** ▪ Wrong facts can spread quickly, damaging morale or reputation
▪ **Builds team spirit** ▪ Friendly chat helps people feel connected, boosting motivation and cooperation	▪ **No written record** ▪ Decisions made informally may be forgotten or disputed later
▪ **Encourages ideas** ▪ Casual talk makes employees more willing to share creative suggestions	▪ **Can bypass managers** ▪ Important issues might skip the chain of command, leaving leaders unaware
▪ **Reduces stress**	▪ **Exclusion risk**

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▪ A quick joke or personal story can ease tension during busy periods	▪ Staff who are not part of the social circle may feel left out or unfairly treated

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Communication and business efficiency

- Clear, timely and two-way communication is vital for an efficient business
  - It can can save time, cut costs or raise output when managed well

How communication affects business efficiency

Aspect	Impact on efficiency	Example
Clarity and accuracy	▪ Clear, jargon-free messages reduce mistakes and the amount of rework	▪ A warehouse worker picks the right items first time when orders are precise
Speed of information flow	▪ Fast, real-time updates shorten decision times and reduce bottlenecks	▪ A WhatsApp alert warns drivers of a traffic jam, rerouting deliveries instantly
Feedback channels	▪ Two-way communication surfaces problems early, so fixes are quicker and cheaper	▪ Factory operators report a loose bolt before it causes a costly machine stop
Cross-department coordination	▪ Shared platforms (e.g. Slack, Teams) align schedules and resources, avoiding duplication	▪ Marketing and production compare launch dates, preventing excess inventory building up
Employee engagement	▪ Open, respectful dialogue boosts morale and effort, raising output per worker	▪ A suggestion box in a Kenyan tea plant cuts water waste by 10%.
Customer and supplier links	▪ Timely, transparent updates build trust and streamline the supply chain	▪ A Chinese electronics firm shares live stock data with suppliers, reducing lead times

Ways of improving communication

- As communication is crucial to improving efficiency, managers should take steps to improve the way information moves around and outside of a business

Steps managers can take to improve communication

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- **Set a clear purpose**
  - Know exactly what the recipient must understand or do
- **Match the channel to the message**
  - Choose email, chat, video call or face-to-face appropriately.
- **Use plain, inclusive language**
  - Avoid jargon and check understanding.
- **Encourage feedback**
  - Invite questions and suggestions to catch issues early.
- **Invest in collaboration tools**
  - Reliable messaging and shared-document platforms keep everyone aligned.
- **Promote an open culture**
  - Leaders share goals and listen, building trust and honest dialogue.

- Sending a **clear message** through the **most suitable channel**, whether email, chat, video or face-to-face, reduces errors and speeds up decisions
  - This saves a business time and money
- Encouraging **two-way**, **inclusive dialogue** by using **plain language** and inviting **feedback** brings problems to light early
  - It can also encourage new ideas and keep employees motivated.
- Equipping teams with **modern digital tools** for chat, video calls and shared files keeps everyone coordinated, wherever they work

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- This improves customer service and helps achieve faster growth

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